

Willow Gardens

Investment / Sales Offering Memorandum and Underwriting Reconciliation - as of August 31, 2026 - 64-unit multifamily, San Antonio, TX (original fictional evaluation material)

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Willow Gardens is a 64-unit multifamily property in San Antonio, TX, analyzed as of August 31, 2026 from an original fictional evaluation packet. This document is an investment/sales offering memorandum and underwriting reconciliation; it is not a debt-request letter. No photographs, asking price, market rent or sale comparables, sponsor track record or street address are supplied in the packet, and none have been created here.

The certified rent roll dated 2026-08-31 governs physical occupancy: 48 of 64 units (75.00% by unit; 75.18% by area) are active and in possession, 5 units are leased but pending possession, and 11 units are vacant. The manager's cover note headlines 53 of 64 as leased by counting the 5 pending units; those occupants have not taken possession, so pending units are excluded from physical occupancy here and disclosed separately.

Underwriting per the acquisition analysis instructions produces stabilized EGI of \$1,309,175, NOI before reserves of \$890,640, and NCF after reserves of \$871,440. Capitalized at 6.0000%, the indicated value is \$14,843,996 (\$231,937 per unit). Maximum loan proceeds are \$8,821,131, constrained by the 1.25x DSCR test, implying 59.42% LTV and a 9.89% NCF debt yield. After the \$7,200,000 existing payoff, a 1% origination fee and \$45,000 of closing costs, net cash-out to the sponsor is \$1,487,920.

Value shown is an income-capitalization indication derived from the prescribed 6.0000% rate in the instructions. It is not an asking price, an appraisal, or evidence of market pricing; no comparable sales are in the packet.

Metric	Value	Basis
Total units	64	rent-roll-certified.xlsx, Rent Roll A5:A68
Occupied (in possession)	48	Possession status = active
Pending (not in possession)	5	Possession status = pending
Vacant	11	Possession status = vacant
Unit occupancy	0.7500	48 / 64
Area occupancy	0.7518	46,560 / 61,930 SF
Gross potential rent (annual)	\$1,354,500	All-unit scheduled rent \$112,875 x 12
Underwritten EGI	\$1,309,175	GPR less 5% loss plus \$350/unit other income

Metric	Value	Basis
Underwritten NOI (before reserves)	\$890,640	EGI less \$418,535 operating expenses
Underwritten NCF (after reserves)	\$871,440	NOI less \$300/unit reserves
Capitalization value at 6.0000%	\$14,843,996	NOI before reserves / cap rate
Maximum loan	\$8,821,131	DSCR-constrained
Net cash-out	\$1,487,920	Proceeds less payoff, fee and costs

Property and Unit Mix

The property comprises 64 residential units totaling 61,930 rentable square feet across three floor plans. The manager's group mapping (manager-cover.pdf p.1) assigns groups A, B and C in order to Studio, 1BR and 2BR. Scheduled rents on the certified roll are uniform within each plan: \$1,575 for studios, \$1,725 for one-bedrooms and \$2,000 for two-bedrooms, equal to \$1.92, \$1.84 and \$1.74 per SF per month respectively.

No amenity schedule, site plan, year built, parking count or photographs are provided in the packet; those items are unknown rather than zero.

Group	Plan	Units	Occupied	Area SF	Monthly rent per unit
A	Studio	22	16	18,040	\$1,575
B	1BR	21	16	19,740	\$1,725
C	2BR	21	16	24,150	\$2,000
Total	All plans	64	48	61,930	\$112,875 total

Lease and Occupancy Analysis

Every lease on the certified roll expires 2029-08-31, roughly three years beyond the evaluation date. Under the instructions, near-term rollover means an active unit expiry within the next 12 months; there is none, so near-term rollover exposure is absent as of 2026-08-31. The uniform expiry does, however, concentrate the entire rent roll into a single 2029 rollover window, which a buyer should plan for even though it falls outside the 12-month test.

Annualized in-place rent from the 48 occupied units is \$1,017,600, versus \$1,354,500 of gross potential rent for all 64 units. The \$336,900 gap is vacancy and pending-possession loss, of which the 5 pending units represent \$103,500 of annual scheduled rent that is contracted but not yet in possession.

Suite 001 is supported by an executed lease at \$1,575 per month for 820 SF expiring 2029-08-31, with a \$3,150 security deposit and no free-rent concession as of the evaluation date. Manager correspondence dated August 31, 2026 confirms that no amendment or new concession affects Suite 001. The stale archive roll dated

2026-06-30 shows lower rents (\$1,500 / \$1,650 / \$1,925); that roll is superseded by the 2026-08-31 certified roll and is not used for underwriting. This is a resolvable dated-document conflict, not an open issue.

No unsigned rent proposal or unexecuted amendment appears anywhere in the packet, and no temporary free-rent period is documented.

Status	Units	Area SF	Monthly scheduled rent	Annual scheduled rent
Active (in possession)	48	46,560	\$84,800	\$1,017,600
Pending (not in possession)	5	4,780	\$8,625	\$103,500
Vacant	11	10,590	\$19,450	\$233,400
Total	64	61,930	\$112,875	\$1,354,500

Historical versus Underwritten Financials

The trailing twelve months ended 2026-08-31 reflect cash collections of \$1,219,050 against real estate taxes of \$142,222, insurance of \$47,408 and other recurring operating expenses of \$189,630, producing the reported T-12 NOI of \$839,790. The statement discloses that the roof replacement is a capital improvement booked at \$0 in repairs with no recurring repair component, so the historical ledger does not embed capital spending in operating expenses. No management fee is separately reported in the T-12 ledger, and historical collections are cash receipts rather than an annualized rent-roll total.

Underwriting follows the prescribed instructions rather than the historical statement for revenue: all-unit scheduled monthly rent on the certified roll (before any Suite 001 amendment) times twelve, a 5% economic loss, and \$350 per unit of annual other income. Reimbursement income is already inside that figure and is not added twice. Expenses use the prescribed tax, insurance and other recurring amounts, a 3% management fee on underwritten EGI, and a \$300 per unit replacement reserve. NOI before reserves is capitalized; DSCR and debt yield are sized on NCF after reserves.

Underwritten NOI before reserves of \$890,640 exceeds reported T-12 NOI of \$839,790 by \$50,850. The difference is definitional: underwriting applies a stabilized 95%-of-potential revenue assumption plus other income and adds a management fee the historical ledger does not carry, while the historical figure reflects actual collections during a partially vacant period.

Line	T-12 actual	Underwritten (stabilized)
Gross potential rent	not reported separately	\$1,354,500
Economic loss at 5%	-	(\$67,725)
Other income at \$350/unit	included in collections	\$22,400
Revenue / EGI	\$1,219,050	\$1,309,175

Line	T-12 actual	Underwritten (stabilized)
Real estate taxes	(\$142,222)	(\$142,222)
Insurance	(\$47,408)	(\$47,408)
Other recurring operating expenses	(\$189,630)	(\$189,630)
Management fee (3% of EGI)	\$0 reported	(\$39,275)
Roof replacement in repairs (capital)	\$0	not underwritten as opex
Total operating expenses	(\$379,260)	(\$418,535)
NOI before reserves	\$839,790	\$890,640
Replacement reserves (\$300/unit)	not reported	(\$19,200)
NCF after reserves	not reported	\$871,440

Debt Sizing and Sources / Uses

Sizing uses the greater of the 6.9000% note rate and the 6.00% underwriting floor, i.e. 6.9000%, applied to a 30-year monthly amortizing constant even though the first 24 months are interest-only. Because the note rate exceeds the floor, the floor is not binding.

The three constraints produce \$8,906,398 on LTV, \$8,821,131 on DSCR and \$9,682,664 on debt yield. DSCR binds, so maximum proceeds are \$8,821,131: a 59.42% implied LTV, 9.89% NCF debt yield and 1.25x amortizing DSCR (4.20x during the interest-only period at \$608,658 of annual interest).

Proceeds exceed the \$7,200,000 payoff plus \$88,211 origination fee and \$45,000 closing costs by \$1,487,920, so there is no refinance shortfall on these assumptions and no additional equity is required. The cushion is sensitive to the prescribed cap rate through the currently non-binding LTV test; a materially higher cap rate would make LTV binding and compress cash-out (see the workbook sensitivity grid).

Item	Amount
Underwritten NCF (sizing basis)	\$871,440
Sizing rate / amortization	6.9000% / 360 months
LTV limit (60.00% of \$14,843,996)	\$8,906,398
DSCR limit (1.25x)	\$8,821,131
Debt yield limit (9.00%)	\$9,682,664
Maximum loan (binding: DSCR)	\$8,821,131

Item	Amount
Use - existing loan payoff	\$7,200,000
Use - origination fee (1.00%)	\$88,211
Use - closing costs	\$45,000
Total uses	\$7,333,211
Source - new loan proceeds	\$8,821,131
Net cash-out to sponsor	\$1,487,920

Risks and Missing Diligence

Risk assessments below use present, absent or unresolved and are made independently of one another.

Missing diligence: legal, environmental, property condition and title reviews are not complete per diligence-status.pdf. These are routine outstanding items; the packet supplies no evidence of contamination, litigation, fraud or structural failure, and none is asserted here. Also unknown rather than zero: asking price, photographs, market rent and sale comparables, sponsor history, property address, lender term sheet, tenant credit detail, and any capital expenditure plan beyond the completed roof replacement.

Risk	Assessment	Basis
Pending units counted in occupancy	present	manager-cover.pdf p.1 headlines 53/64 leased including 5 unpossessed pending units; certified roll shows 48 active
Near-term rollover (next 12 months)	absent	All expirations 2029-08-31; none within 12 months of 2026-08-31
Missing insurance evidence	absent	insurance.pdf p.1 policy in force 2026-07-01 to 2027-06-30, \$2,000,000 GL aggregate
Capital item classified in operating expenses	absent	operating-statement.pdf p.1: roof replacement \$0 in repairs, identified as capital
Unsigned rent change relied upon	absent	No unsigned proposal in packet; lease-correspondence.pdf p.1 confirms no Suite 001 amendment
Temporary free rent	absent	lease-001.pdf p.1: no free-rent concession as of evaluation date
Sizing rate floor binding	absent	Note 6.9000% exceeds 6.00% floor; sizing uses note rate

Risk	Assessment	Basis
Refinance shortfall	absent	\$8,821,131 proceeds cover \$7,333,211 of uses; \$1,487,920 surplus
2029 single-date rollover concentration	present (outside 12-month test)	All 64 leases expire 2029-08-31
Stale archive roll conflict	resolved	rent-roll-archive.xlsx (2026-06-30) superseded by certified roll (2026-08-31)

Source Notes

All figures trace to the nine files in the supplied packet; no external data, market research or outreach was used. The accompanying workbook exposes gross_potential_rent (Inputs!B4), cap_rate (Inputs!B13) and sizing_rate (Inputs!B16) as live inputs, and computes uw_egi (UW!B6), uw_noi (UW!B13), uw_ncf (UW!B15), capitalization_value (UW!B18), maximum_loan (Debt!B8) and net_cash_out (Debt!B23) with Excel formulas, plus a cap-rate/sizing-rate sensitivity grid and a source register.

This is original fictional evaluation material; no real transaction, address, sponsor or price is represented.

File	Date / as-of	Location	Use
rent-roll-certified.xlsx	2026-08-31	Rent Roll B2, A5:G68	Controlling unit count, area, possession status, scheduled rents, expirations
rent-roll-archive.xlsx	2026-06-30	Rent Roll E5:E68	Stale prior rents; superseded, not underwritten
lease-001.pdf	n/a	p.1	Suite 001 executed rent \$1,575, 820 SF, expiry 2029-08-31, no free rent
lease-correspondence.pdf	2026-08-31	p.1	No amendments or new concessions on Suite 001
operating-statement.pdf	2025-09-01 to 2026-08-31	p.1	T-12 collections, tax, insurance, other opex, reported NOI \$839,790, roof capital \$0
insurance.pdf	2026-07-01 to 2027-06-30	p.1	GL aggregate limit \$2,000,000 (coverage limit, not expense)
underwriting-instructions.pdf	n/a	p.1	All underwriting assumptions and loan constraints

File	Date / as-of	Location	Use
manager-cover.pdf	n/a	p.1	53/64 leased headline; A/B/C = Studio/1BR/2BR mapping
diligence-status.pdf	n/a	p.1	Outstanding legal, environmental, PCA and title reviews